

23STCV03781 23STCV03781

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Case Number: 23STCV03781 Hearing Date: July 30, 2026 Dept: 510

No.

1 – Bryce Stubblefield v. Go-Staff, Inc.

Stipulation

for Approval of PAGA Settlement

Plaintiff

Bryce Stubblefield, individually and on behalf of all other aggrieved employees (collectively, "Plaintiff") and Defendant Go-Staff, Inc. submit a stipulation seeking an order granting approval of a Representative PAGA Settlement. The stipulation is accompanied by a declaration from plaintiff's counsel Haig Kazandjian.

Plaintiff

filed this action on February 21, 2023. In the original complaint,

Plaintiff alleged more than 20 Labor Code violations by his employer. As a settlement was being negotiated, Plaintiff obtained permission to file a first amended

complaint that alleged the employer committed at least 32 Labor Code

violations, including eight new Labor Code violations; violated two sections of the California Code of Regulations; and committed

"violations of the applicable IWC Wage Orders." The violations include

Defendant's failure to pay overtime/double time, provide meal and rest periods, pay minimum wage, issue proper wage statements, and a litany of other Labor Code violations for which substantial penalties could be assessed. The parties seek approval of a settlement that would affect more than 6,300 employees.

Plaintiff

asserts that there are 6,311 Aggrieved Employees who worked 65,000 PAGA Pay Periods during the three-year PAGA Period. (Capitalized terms are defined in

the parties' settlement agreement.) Even though the PAGA Period covers three years, Plaintiff asserts an average of 10 affected Pay Periods per employee, a suspiciously low number considering how widespread the violations are alleged to have been. If the settlement is approved, all 6,311 Aggrieved Employees

will release Go-Staff, its officers, directors, employees, successors and myriad others from any claim that was or "could have been asserted" in the amended complaint.

The

key numbers of the settlement are important. If approved, Defendant will pay a total of \$615,000. From that amount, Plaintiff seeks attorney fees of \$246,000 (40% of the total), plus \$10,517.76 for litigation costs. Plaintiff individually seeks a "representative enhancement award" of \$15,000.

Administration costs for the settlement will be \$21,000, leaving \$322,482.24 in the PAGA Penalty Fund. Three-fourths of the Penalty Fund will be paid to the Labor and Workforce Development Agency ("LWDA"), leaving 25% of the balance, or \$80,620.56, to be divided pro-rata among the 6,311 employees. On average, each employee will receive only \$12.77, or only \$1.24 per pay period. Of course, because the funds will be allocated pro-rata, many employees will receive much less than these paltry amounts.

Labor

Code § 2699(l)(2) provides, "The superior court shall review and approve any settlement of any civil action filed pursuant to this part [the Labor Code Private Attorneys General Act of 2004]. The proposed settlement shall be submitted to the LWDA at the same time that it is submitted to the court."

The

Court rejects the stipulation for several reasons.

First

and foremost, the proposed settlement does

not appear to be fair. Plaintiff amended the original complaint as part of settlement efforts to include new Labor Code violations that alone would increase Defendant's exposure substantially. That amendment was temporally close in time to the agreement to pay Plaintiff's counsel nearly \$250,000

in attorney fees, with no corresponding additional value provided to the Aggrieved Employees. Plaintiff now claims there were more than 30 separate Labor Code

violations, which if proven could entitle each Aggrieved Employee to multiple hundreds or thousands of dollars in statutory penalties. Yet even though these parties are summarily resolving all of these claims on behalf of the Aggrieved Employees, they never mention in the stipulation or accompanying declaration

what the default penalties would be for the numerous violations. The Court cannot ignore the willful omission of such critical information. The import of the information can easily be demonstrated with only two simple examples. (a) Plaintiff asserts representative claims for violation of Labor Code section 203, which provides for a penalty for an employer's failure to promptly pay owed wages when an employee quits and other circumstances. (Violation of section 203 was included in the original complaint, at ¶¶ 8(ix), 73.) If established, a penalty of up to 30 days' wages is mandated. If each employee was paid \$4,000/month, rather modest for many professions, the penalty for the Aggrieved Employees would exceed \$25,000,000. (b) Violation of Labor Code section 212 (issuing wages via checks that were non-negotiable when presented), alleged for the first time in the amended complaint -- which indicates that Plaintiff learned of violations for the first time during discovery -- for which penalties under Labor Code section 210 are an additional \$100 per violation per employee. Even if there was a single improper wage payment violation per employee, the penalties would be \$631,100, more than the total settlement amount "negotiated" by the parties. Plaintiff's counsel does not contend that, after discovery, he concluded that there were no Labor Code violations. Nor does counsel state that the amended complaint included new violations even though they were not warranted or that they were included merely to provide protection for Defendant against future suits. As such, the Court necessarily concludes that the new claims were added based on merit rather than collusion with Defendant. The settlement, though, does not reflect value for meritorious claims.

Second, according to the proposed Notice of Settled Representative Action attached as Exhibit 2 to the Kazandjian Declaration, each of the more than 6,300 Aggrieved Employees would first learn about the settlement, and the fact that they have waived all Labor Code claims against their employer, after the Court has approved the settlement and after they have been handed a check for less than \$13.00. The employees have no opportunity to opt out, to retain counsel, or to even receive basic information about the case and what they have released. (The only contact information on the Notice is for the Settlement Administrator.)

Third, under the deal the individual Plaintiff would be paid \$15,000, or nearly 1,200 times more than the average employee would receive. Nowhere, though, is there any indication that Plaintiff's alleged harm from the various Labor Code violations is any greater than that of his 6,311 fellow employees. The fact that he was a named Plaintiff and had to sit for a deposition does not warrant such disparate treatment, especially where it is to the detriment of some many other employees.

Fourth, Plaintiff's counsel seeks 40% of the settlement pool, based only on his own self-serving declaration that the amount is based in part on "the results PAGA Counsel have achieved through litigation"

and “the value of the settlement that PAGA Counsel has achieved for the Aggrieved Employees.” (Kazandjian Decl., ¶ 21.) He also summarily concludes that the “common and acceptable rate for contingency representation” in such cases is between 33.33% and 50%. (Id. ¶ 23.) Where did the 40% figure come from? Counsel and Plaintiff agreed to that amount (ibid.), but there is no indication that Plaintiff knew what an appropriate fee would be or why that amount should effectively be charged to all 6,300 employees who received nearly nothing of value from the deal. Nor is there any explanation why that amount was selected rather than the more-customary 33%, which alone would result in \$37,000 more for the Aggrieved Employees. As expressed in this order, the Court does not agree that the results counsel obtained in this case nor the “value of the settlement” for the Aggrieved Employees warrants fees in the amount sought.

Nor does counsel provide sufficient information for the Court to consider whether the 40% rate is in line with a lodestar calculation, as he suggests. (Id. ¶ 24.) Counsel states that “PAGA Counsel has incurred many hours of work in connection with this matter,” but does not specify how many is “many.” He also summarily states that he and all “of the attorneys who worked on this matter” (without any information about their names, educational background, legal experience, work performed or hours spent on particular tasks) warrant a “reasonable blended hourly rate” of \$825. (Id. ¶ 25.) These conclusory statements are woefully inadequate.

Fifth, counsel has provided contradictory information to the Court in support of the settlement. In their May 4, 2026 stipulation allowing Plaintiff to file the amended complaint, the parties represent on page 2: “WHEREAS, the Parties attended a mediation on December 3, 2024, with experienced wage and hour mediator Douglas Glass, Esq. which resulted in a settlement of the case.” Only two months later, though, in their July 10, 2026 stipulation seeking approval of the settlement, the parties represent on page 5: “WHEREAS, the Parties engaged in a full day of mediation on December 3, 2024, with a respected wage and hour mediator, Douglas Glass, Esq. [¶] WHEREAS, the mediation did not result in a settlement. However, subsequent arms-length discussions between the Parties led to an Agreement” These statements are clearly contradictory. If an agreement was indeed reached in December 2024, no explanation is provided while the parties waited another 20 months to submit their settlement for approval.

Viewed as a whole, the proposed settlement appears to be an unfair package deal, where Defendant pays a healthy sum to Plaintiff and his attorney in exchange for a substantial discount on PAGA penalties for thousands of aggrieved employees, all of whom will learn for the first time that they have involuntarily released all of their individual claims when they receive a small check and notice. As drafted, the agreement is unconscionable. For these reasons, the Court denies approval of the stipulated settlement, without prejudice.